

Risk Management Dashboard Report

Introduction

Effective risk management is critical for organizational resilience, especially in dynamic operational environments. The following report analyses three distinct dashboards representing risk data from various perspectives - focusing on risk type, severity, status, actions, and strategic implications. This analysis aims to identify critical insights, areas of improvement, and provide actionable recommendations for strengthening the risk management framework.

Key Metrics

Total Risks: 500

Incidents: 200

Breaches: 38

Actions: 400

Passed Tests: 101 (50.5%)

Detailed Analysis

Risks by Strategy:

- Accept: 54 (27.98%)
- Mitigate: 49 (25.39%)
- Transfer: 47 (24.35%)
- Avoid: 43 (22.28%)

Implication: A significant number of risks are being accepted or mitigated, suggesting a tolerance for certain types of risks rather than avoidance and gaps in alternative risk mitigation strategies.

Recommendations

- Review acceptance criteria to ensure low-priority risks are not allowed to accumulate.
- Reinforce mitigation and transfer strategies to reduce reliance on accepting risks.
- A comprehensive review of acceptance criteria might also uncover areas for proactive handling.

Risk by Type Name

Credit (108, 21.6%), Compliance (103, 20.6%), Market (99, 19.8%), Strategic (97, 19.4%), Operational (93, 18.6%).

Implication: Credit and compliance risks dominate, highlighting these as areas of vulnerability and indicating focus areas for internal controls and audits.

Recommendations

- Conduct quarterly audits on high-volume risk types.
- Invest in targeted interventions for these risk types-enhancing control mechanisms, automating monitoring, and dedicating more resources to pre-emptive measures.

Risk by Severity:

- Low: 19 (42.22%)
- Medium: 14 (31.11%)
- High: 12 (26.67%)

Implication: Although the number of high-severity risks is relatively low, they should be prioritized.

Recommendations

- Allocate mitigation resources to high-severity risks for faster resolution.
- Establish protocols to regularly re-evaluate severity ratings for dynamic risks.

Score by Status:

- Identified: 1022 (38.93%)
- Assessed: 843 (32.11%)
- Mitigated: 448 (17.07%)
- Closed: 312 (11.9%)

Implication: The significant drop from identified (1022) to mitigated (448) risks indicate potential bottlenecks in risk treatment, resulting in a significant backlog at the “Identified” stage.

Recommendations

- Streamline processes to move risks more efficiently to mitigation and closure stages.
- Allocate dedicated resources to expedite these transitions.

Action by Status:

- Planned: 146 (36.5%)
- Completed: 135 (36.5%)
- In Progress: 119 (33.75%)

Implication: Balanced progress across action statuses reflects active engagement.

Recommendation:

- Improve tracking to move more actions toward completion.

- Sustain current momentum while ensuring that planned and in-progress actions adhere to timelines for completion.

Trigger Event by Name

Trigger events are evenly distributed among Approval Requests, Incident Raised, New Risk Notifications, and Policy Updates (each 25%).

Implication: This balanced distribution highlights the equal significance of all trigger event types.

Recommendation: Regularly monitor all categories to ensure timely action and proper resource allocation.

Score and Likelihood by Risk Type:

Credit: Score – 631 (21.3%), Likelihood – 221 (30.4%)

Operational: Score – 517 (17.5%), Likelihood – 173 (23.8%)

Implication: High scores and likelihoods highlight vulnerabilities in Credit and Operational risks.

Recommendation: Strengthen mitigation controls for credit risks.

Review Cycle by Cycle Name

Negative values in Review Cycles 8, 9, and 10 indicate delays, while earlier cycles exhibit smoother progress.

Implication: Delays in Review Cycles may hinder timely decision-making and risk resolution.

Recommendation: Investigate causes for these delays and implement corrective measures to streamline the review process.

Instance by Status and Record Type

Completed instances: 14 incidents and 13 risks. In-progress instances: 7 incidents and 16 risks.

Implications: A significant number of risks remain in progress, reflecting ongoing risk management efforts.

Recommendations: Focus resources on expediting completion rates for in-progress instances to enhance overall efficiency.

Audit by Action

Analysis: Audit actions are categorized as Create (24%), Update (22%), Delete (20.67%), Login (16.67%), and Review (16%).

Implications:

- Frequent Create and Update actions may indicate ongoing operational changes, which could pose data integrity risks.
- The high percentage of "Delete" audit actions (24%) warrants investigation into why records are being removed.

Recommendations:

- Implement stricter audit controls for Create and Update actions to ensure compliance and mitigate risks.
- The high percentage of "Delete" audit actions (24%) warrants investigation into why records are being removed

Breach by Severity

Medium-severity breaches lead at 42%, followed by High at 30% and Low at 28%.

Implication: Medium-severity breaches signal a need for enhanced mitigation strategies to reduce risk exposure.

Recommendation: Prioritize resources to address medium-severity breaches while monitoring high and low-severity breaches closely.

Step Order by Step Name and Action Required

Analysis: Final Sign-off accounts for the largest share (12 actions), followed by Risk Officer Approval (6), Line Manager Approval (4), and Initiation (2).

Implication: The robust Final Sign-off process ensures thorough risk evaluations.

Recommendation: Streamline other steps to improve efficiency without compromising the thoroughness of the approval process.

Likelihood, Impact, and Severity Score by Type Name

Consistent severity scores across risk types (113), alongside varying likelihood and impact values, emphasize a uniform risk profile.

Implications: Balanced severity indicates a stable risk management approach but warrants continuous monitoring.

Recommendations: Maintain uniformity while addressing variations in likelihood and impact through proactive interventions.

Threshold by Indicator Name

Risks with the highest thresholds are "Raise Risk" (195, 39%) and "Often Risk" (171, 34.2%).

Implications: These indicators represent significant vulnerability points and should be closely monitored.

Recommendations: Develop targeted mitigation plans for these high-threshold indicators, prioritize resources effectively, and conduct periodic reviews to evaluate progress.

Instance by Status and Record Type

In-progress incidents exceed completed incidents (16 as against 14), and completed risks outnumber in-progress risks (13 as against 7).

Implication: While risks exhibit timely resolution, incidents lag behind, potentially escalating organizational exposure.

Recommendation: Increase team capacity to address incidents, and ensure streamlined workflows for faster resolution.

Actions by Action Taken and Email Sent

Rejected actions dominate (24, 60%), followed by approved (18, 45%) and escalated actions (15, 37.5%). Email communications are higher for approved actions.

Implication: High rejection rates could signal inefficiencies in decision-making or misaligned criteria.

Recommendation: Conduct audits to evaluate rejection causes and establish improved guidelines for approvals. Ensure emails are sent promptly for escalated issues to strengthen communication channels.

Plans by Strategy

Mitigation strategy holds the largest share (27.5%), followed by avoidance (25.5%). Transfer and acceptance strategies trail behind.

Implication: Focus on mitigation strategies aligns with proactive risk management principles.

Recommendations

- Sustain emphasis on mitigation while diversifying strategies for balanced risk handling.
- Enhance training to optimize all strategy utilizations.

Owner by Cause ID

Cause IDs CAU00005 (39, 19.5%) and CAU00017 (38, 19%) are most frequent, indicating concentrated accountability.

Implication: High counts for specific IDs suggest repeated issues that require investigation.

Recommendation: Assign dedicated teams to address recurring risks and optimize processes around these cause IDs.

Conclusion

The organization's risk management approach shows both strengths and areas for improvement. Key strengths include effective incident resolution, balanced trigger events, and comprehensive risk classification. However, significant challenges remain, including high-severity compliance issues (42.22% high severity), bottlenecks in approval workflows, and inconsistent risk strategies.

Priority actions should include addressing the high-severity risks (particularly in credit and compliance categories), standardizing risk naming conventions, investigating the high rate of deleted audit records, and developing targeted strategies for the top three risk causes. Additionally, the organization should resolve the bottlenecks in the risk mitigation process, particularly at the Final Sign-off stage, to improve overall risk resolution rates.

By implementing these recommendations, the organization can enhance its risk management effectiveness, reduce exposure to high-severity threats, and improve operational resilience.

